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Certificate No.	:	IN-KA29668901902372Q
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Account Reference	:	SHCIL (FI)/ ka-shcil/ RAICHUR/ KA-RC
Unique Doc. Reference	:	SUBIN-KAKA-SHCIL05863448209018Q
Purchased by	:	SHILPA MEDICARE LIMITED
Description of Document	:	Article 20 Conveyance
Property Description	:	AMALGAMATION OF NAVYA BIOLOGICALS PVT LTD WITH SHILPA MEDICARE LTD
Consideration Price (Rs.)	:	69,99,97,000 (Sixty Nine Crore Ninety Nine Lakh Ninety Seven Thousand only)
First Party	:	NAVYA BIOLOGICALS PRIVATE LIMITED
Second Party	:	SHILPA MEDICARE LIMITED
Stamp Duty Paid By	:	SHILPA MEDICARE LIMITED
Stamp Duty Amount(Rs.)	:	70,00,070 (Seventy Lakh And Seventy only)

27 MAR 2018

National Company Law Tribunal, Bengaluru

Authorised Signatory

Please write or type below this line

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P. (CAA) No. 06/BB/2017 C/W C.P. (CAA) No. 08/BB/2017

Received the Original Decree 27/07/18

Nyaya Sahayak

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DECREE

Stamp duty of value of Rs.70,00,070/- (Rupees Seventy Lakh and Seventy Only) paid in the form of Non-Judicial e-Stamp Paper vide Certificate No.IN-KA29668901902372Q dated.26.03.2018 issued by Authorised Signatory of M/s. Stock Holding Corporation of India Ltd.,

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL BENGALURU BENCH

C.P. (CAA) No. 06/BB/2017
C/W
C.P. (CAA) No. 08/BB/2017

IN THE MATTER OF SCHEME OF AMALGAMATION OF

M/s. SHILPA MEDICARE LIMITED

AND

M/s. NAVYA BIOLOGICALS PRIVATE LIMTED

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

UNDER SECTION 230 AND 232 READ WITH OTHER RELEVANT RULES AND PROVISIONS OF THE COMPANIES ACT, 2013

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1. **M/s. Navya Biologicals Private Limited,**
   126/C, Street Bed, 3rd Cross, 4th Block,
   Koramangala,
   BENGALURU - 560 034.
   Karnataka, India. ..... **Petitioner/Transferor Company**

2. **M/s. Shilpa Medicare Limited,**
   # 12-6-214/A1, Hyderabad Road,
   RAICHUR - 584 135.
   Karnataka, India. ..... **Petitioner/Transferee Company**

For the Petitioner(s) : Sri. Nygil Kuriakose, Practicing Company Secretary,
Fox Mandal & Associates, Advocates & Solicitors,
FM House, No.6/12, Gurappa Avenue,
Primrose Road, Bengaluru - 560 025.

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THIS TRIBUNAL DO FURTHER ORDER:

1. That all of property, rights and powers of the Transferor Company specified in the first, second and third parts of the Schedule hereto and all other property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company therein but subject nevertheless to all the charges now affecting the same, and;

2. That all the liabilities and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013 be transferred to and become the liabilities and duties of the Transferee Company, and;

3. That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, and;

4. That the Transferee Company do without further application allot such members of the Transferor Company as have not given such notice of dissent as is required by clause 6 of the Scheme of Amalgamation herein, the shares in the Transferee Company to which they are entitled under the said Amalgamation, and;

5. That the Transferor Company shall within 30 days from the date of receipt of this Order cause a certified copy of the said order along with a copy of the Scheme of Arrangement to be delivered to the Registrar of Companies, Karnataka for registration and on such certified copy being sc delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company and registered with him on the file kept by him in relation to the Transferee Company and the files relating to the said two companies shall be consolidated accordingly, and;

6. That the Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation, i.e., **01st April 2016**, and;

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SCHEDULE – I

SCHEME OF AMALGAMATION

BETWEEN

M/s. SHILPA MEDICATE LIMITED

AND

M/s. NAVYA BIOLOGICALS PRIVATE LIMITED

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

PART-A

INTRODUCTION AND DEFINITIONS

1. *INTRODUCTION*

1.1. M/s. Shilpa Medicare Limited ("**Transferee Company**"), is a company incorporated under the Companies Act, 1956 having its registered office at 12-6-214/A1, Hyderabad Road, Raichur, Karnataka 584 135 that is engaged in the business, *inter alia*, of the business of manufacturing and selling pharmaceuticals and other allied products.

1.2. M/s. Navya Biologicals Private Limited ("**Transferor Company**") is a company incorporated under the Companies Act, 1956 having its registered office at 126/C, Street Bed 3rd Cross, 4th Block, Koramangala, Bangalore 560 034 and is engaged, in the business of carrying on research and development activities in the field of Biologicals.

1.3. Considering that the Biologicals are expected to play a major role in the development of new pharmaceutical products in the future, it has been decided by the Board of Directors of the Transferee Company and the Transferor Company that that it would be in the interest of each of the companies and their respective stakeholders to take appropriate steps to

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Company will be allotted shares in the Transferee Company, as consideration for the amalgamation.

1.5 It is therefore considered desirable and expedient by the Board of Directors of the Transferee Company and of the Transferor Company to formulate the Scheme to carry out the Scheme of Amalgamation pursuant to Sections 391 to 394 and other applicable provisions of the Companies Act, 1956 and of the relevant provisions of any other law (including the Companies Act, 2013) as may be in force at the relevant time and from time to time.

1.6 The Scheme has been divided into three parts viz., Part-A, Part-B and Part-C. Part-A contains an introduction and definitions in relation to the Scheme; Part-B contains provisions relating to the merger of the Transferor Company into and with the Transferee Company; and Part-C contains general provisions that are applicable to the Scheme.

1.7 The amalgamation of the Transferor Company with the Transferee Company is proposed in the Scheme in accordance with the provisions of Section 2(1B) and other applicable provisions of the Income Tax Act, 1961 (the "**Income Tax Act**"). If any of the provisions of the Scheme are interpreted or found to be inconsistent with the relevant provisions of the Income Tax Act, including any amendments to the said law, such provisions of the Scheme shall stand modified to the extent required to comply with the provisions of the Income Tax Act.

2. **DEFINITIONS**:

2.1 In this Scheme, unless repugnant to the subject or context or meaning thereof, the following expressions shall have the meanings as set out herein below:

"**Act**" shall mean the Companies Act, 1956, and will include any statutory modifications, re-enactments or amendments thereof, including the relevant provisions of the Companies Act, 2013 and rules made there under that are notified and made applicable from time to time.

"**Appointed Date**" shall mean the opening of business hours on April 1, 2016, unless the Transferor Company and the Transferee Company agree to any other date, and approved by the High Court.

"**Board of Directors**" or "**Board**" shall mean the board of directors of the Transferor Company and/or the Transferee Company as the context may require, and will include the committee of the relevant Board of Directors, if the context so requires;

"**BSE**" shall mean the BSE Limited;

"**Effective Date**" means the last of the dates on which the conditions referred to in Clause 12.1 of Part C of the Scheme occurs, unless waived by the Board of Directors of the Transferee Company.

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consents, whatsoever, including any such documents issued by any Governmental Authority;

(iii) All liabilities including secured and unsecured debts, sundry creditors, duties and obligations of every kind; and

(iv) All employees that are on the rolls of the Transferor Company as at the Effective Date.

"**Record Date**" means the date fixed by the Board of Directors of the Transferee Company for the purpose of determining names of equity shareholders of the Transferor Company that will be issued shares in the Transferee Company;

"**Scheme**" or "**Scheme of Amalgamation**" shall mean this scheme of amalgamation as may be modified with the approval or direction of the High Court;

2.2 The expressions which are used in this Scheme and not defined in this Scheme shall, unless repugnant or contrary to the context or meaning hereof, have the same meaning ascribed to them under the Act and other applicable laws, rules, regulations, bye-laws, as the case may be, or any statutory modification of re-enactment thereof from time to time.

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agents, data research and mining, system implementation, listening agents, stockists, representative, in Bio Tech application, undertake projects for organizations in India and abroad, and conduct research, in Bio Technology nanotechnology and life sciences with special emphasis on human areas such as human health care and industrial applications, to produce genetically modified organisms, pharmaceuticals products and intermediates, diagnostics and the like.

(b) To develop, manage and market bioinformatics and chemiinformatics solutions and products for the life sciences industry.

(c) To undertake Manpower Consultancy and promote, develop, encourage, advice and help enterprises in India and Abroad in the Biotech Field.

3.2 Transferee Company:

The Transferee Company was originally incorporated under the name and style of M/s. Shilpa Antibiotics Private Limited on 20-11-1987 in the State of Karnataka. Later on the Company was converted into Public Limited Company and got its name changed to M/s. Shilpa Antibiotics Limited w.e.f. 03-11-1993. Later the Transferee Company had changed its name to M/s. Shilpa Medicare Limited and obtained fresh Certificate of Incorporation bearing Co.No.08/8739 from Registrar of Companies, Karnataka on 13-12-2002 .

3.2.1 The capital structure of the Transferee Company as at March 31, 2016 is as under:

Share Capital	**Rupees**
Authorised Share Capital: 8,50,00,000 Equity Shares of Re.1/- each	8,50,00,000
Issued, subscribed and paid-up Equity Share Capital: Authorised Share Capital: 7,71,01,904 Equity Shares of Re.1/- each	7,71,01,904

3.2.2 The Transferee Company does not have any other forms of share capital, convertible instruments, employee stock options or such other securities or schemes that will give a right in favour of the holder of such instrument or beneficiary of such scheme to seek or obtain shares in the Transferor Company.

3.2.3 The shares of the Transferee Company are listed on the BSE and NSE.

3.2.4 Objects

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consideration and the relevant Governmental Authorities shall effect appropriate change of name / mutation in their records as may be required under the applicable law based on the order of the High Court.

4.2.3 With effect from the Appointed Date, all movable property of the Transferor Company, other than those specified in sub-clause 4.2.1 above, including sundry debtors, receivables, credits, loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, any Governmental Authority or other person shall without any act, instrument or deed become the property of the Transferee Company.

4.2.4 With effect from the Appointed Date, all debts, liabilities, contingent liabilities, duties and obligations, secured or unsecured, whether provided for or not in the books of accounts or disclosed in the balance sheets of the Transferor Company, shall be deemed to be the debts, liabilities, contingent liabilities, duties and obligations of the Transferor Company. Without prejudice to the generality of the provisions contained herein, all benefits arising or accruing to, and other obligations or liabilities suffered by, the Transferor Company after the Appointed Date but before the Effective Date shall be deemed to be of the Transferee Company.

4.2.5 The transfer and vesting of the entire Undertaking as aforesaid shall be subject to existing securities, charges and mortgages, over any of the assets of the Undertaking.

4.2.6 With effect from the Appointed Date, all contracts, deeds, bonds, agreements, schemes, arrangements and other instruments of whatsoever nature in relation to the Transferor Company to which the Transferor Company is a party or to the benefit of which the Transferor Company may be eligible, and which are subsisting or having effect immediately before the Effective Date, shall be in full force and effect against or in favour of the Transferee Company and may be enforced as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or oblige thereto.

4.2.7 With effect from the Appointed Date, all permits, approvals, quotas, rights, entitlements, licenses including those relating to trademarks, tenancies, patents, copy rights, privileges, powers, technologies, facilities of every kind and description of whatsoever nature in relation to the Transferor Company to which the Transferor Company is party or to the benefit of which the Transferor Company may be eligible and which are subsisting or having effect immediately before the Effective Date, shall be enforceable as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or oblige thereto.

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Transferor Company, upon occurrence of the Effective Date, the Transferee Company shall stand substituted for the Transferor Company, for all purposes whatsoever relating to the obligation to make contributions to the said funds in accordance with the provisions of such schemes or funds in the respective trust deeds or other documents. It is the aim and intent of the Scheme that all the rights, duties, powers and obligations of the Transferor Company in relation to such schemes or funds shall become those of the Transferee Company and the same shall not be less-beneficial to the employees. It is however clarified that all members of the Board of Directors of the Transferor Company shall cease to be a member of the Board of Directors on and with effect from the Effective Date and shall not be entitled to be a member on the Board of Directors of SML, though their employment terms existing with the Transferor Company shall continue to be valid and binding on SML.

4.2.12 The Transferee Company shall be entitled to revise the documents (including any tax returns) as it may or the Transferor Company may have filed with various authorities, to claim refund/credits and/or set off all amounts paid by the Transferor Company and/or the Transferee Company under the relevant laws (including under the sales tax, income tax, service tax or any other laws) towards any transactions between the Transferor Company and the Transferee Company or otherwise, that may occur between the Appointed Date and the Effective Date. The right to make such revisions in the returns and to claim refunds/credits is expressly reserved in favor of the Transferee Company. It is expressly clarified that with effect from the Appointed Date, all taxes payable by the Transferor Company and all refunds of claims and other benefits due to the Transferor Company shall be treated as the tax liability or refunds/benefits as the case may be of the Transferee Company.

4.2.13 From the Effective Date and till such time as the name of the Transferee Company is entered as the appropriate person in the records of any other person (including a Governmental Authority) with which the Transferor Company may have dealt with, the Transferee Company shall be entitled to deal with such persons, as if the Transferee Company is the appropriate party in relation to such matters.

Section-3

5. CONDUCT OF BUSINESS:

5.1 With effect from the Appointed Date and until occurrence of the Effective Date, the Transferor Company shall be deemed to carry on all its Undertaking, businesses and activities and stand possessed of its properties and assets for and on account of and in trust for the Transferee

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and figures in Clause V of the Memorandum of Association of the Transferee Company shall be substituted to read as follows

> *"The Authorized Share Capital of the Company is Rs.9,50,00,000 (Rupees Nine Crores and fifty Lakhs Only) divided into 9,50,00,000 (Nine Crores and fifty Lakhs) Equity Shares of Rs.1 /- (Rupee one) each"*

6.1.2 It is hereby clarified that for the purposes of this Clause 6.1.1 above, the consent of the shareholders to the Scheme shall be deemed to be sufficient for the purposes of effecting this amendment, and no further resolution under the applicable provisions of the Companies Act would required to be separately passed or filings be required to be made with any authority.

6.1.3 If the merger of Authorized Share Capital of the Transferor Company with the Authorized Share Capital of Transferee Company as envisaged in Clause 6.1.1 and 6.1.2 above is not implemented for any reason, the Board of Directors of the Transferee Company shall have the authority to make any decision relating to the quantum and manner of increase in the Authorized Share Capital of the Transferee Company.

6.2 <u>Issue of Shares in the Share Capital of the Transferee Company</u>

Upon this Scheme coming into effect and upon transfer and vesting of the Undertaking in the Transferee Company, the consideration in respect of such transfer shall, subject to the provisions of the Scheme, be paid and satisfied by the Transferee Company as follows:

6.2.1 The Transferee Company shall (without further application, act or deed) issue and allot to each of the shareholders of the Transferor Company (whose names are registered in the Register of Members of the Transferor Company on the Record Date, or his/ her/ its legal heirs, executors, administrators or successors), equity shares in the Transferee Company credited as fully paid up in the ratio of [**19.178**] equity shares of Rs.[**1**] each in the Transferee Company for every [**1**] equity shares of Rs.[**100**] each held as fully paid up in the Transferor Company ("**Share Exchange Ratio**"). If, any of the shareholders of the Transferor Company become

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6.3.2 The Transferee Company shall record the identifiable assets and liabilities of the Transferor Company vested in it pursuant to this Scheme, at the respective fair value as prescribed in the said IndAs and subject to exceptions provided in paragraphs 22-31 of said IndAs103 to the extent application to this scheme of Amalgamation.

6.3.3 Goodwill shall be measured as the excess of the consideration transferred measured in accordance with this Indian Accounting Standard over the net of the amounts of the identifiable assets acquired and the liabilities assumed measured in accordance with this Indian Accounting Standard.

6.3.4 The consideration transferred in a business combination shall be measured at fair value, which shall be calculated as the sum of the acquisition-date fair values of the assets transferred by the acquirer, the liabilities incurred by the acquirer to former owners of the acquiree and the equity interests issued by the acquirer

7. **DIVIDEND:**

Unless otherwise agreed by the Transferee Company, the Transferor Company shall not declare any dividend, in any form.

8. **DISSOLUTION OF THE TRANSFEROR COMPANY:**

On occurrence of the Effective Date, the Transferor Company shall, without any further act or deed, stand dissolved without winding up, and the Board of Directors and all committees of the Board of Directors of the Transferor Company shall also stand dissolved without further act or deed.

9. **VALIDITY OF EXISTING RESOLUTIONS ETC**:

Upon the coming into effect of the Scheme, all authorizations and resolutions passed by the Transferor Company shall continue to be valid and be considered as the authorizations or resolutions duly passed by the Transferee Company, and if any such authorizations or resolutions have any monetary limits approved under the applicable law, the said limits shall be added to the limits if any, under similar resolutions passed by the Transferee Company.

PART C

General Provisions:

10. APPLICATIONS TO HIGH COURT:

The Transferor Company and the Transferee Company shall, with all reasonable dispatch, make applications to the High Court or any other

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13. MODIFICATIONS OR AMENDMENT:

13.1 Until occurrence of the Effective Date, each of the Transferor Company and the Transferee Company (acting through their respective Board of Directors) may assent to any modifications or amendments to this Scheme which the Hon'ble High Court of Karnataka and/or any other Governmental Authorities may deem fit to direct or impose or which may otherwise be considered necessary or desirable for settling any question or doubt or difficulty that may arise for implementing and/or carrying out the Scheme. After the occurrence of the Effective Date, the Transferee Company (acting through its Board of Directors) shall have the right to undertake any acts or deeds (including approaching any Governmental Authority) for implementation of any part of the Scheme.

13.2 The Transferee Company shall be at liberty to withdraw, prior to the Effective Date, from this Scheme in case any condition or alteration imposed by the Hon'ble High Court of Karnataka or any other Governmental Authority is not on terms acceptable to it.

14. GENERAL TERMS AND CONDITIONS:

14.1 All costs, charges, fees, taxes including duties (including the stamp duty, if any, applicable in relation to this Scheme), levies and all other expenses, if any (save as expressly otherwise agreed) arising out of or incurred in carrying out and implementing the terms and conditions or provisions of this Scheme and matters incidental thereto shall be borne and paid by Transferee Company.

14.2 Even after the Scheme has become effective, the Transferee Company shall be entitled to complete various activities including activities that may otherwise be required to be carried out by the Transferor Company. By way of illustration, such activities may include, seeking transfer of all requisite approvals and consents from Government Authorities that were originally granted to the Transferor Company, operating the bank accounts of the Transferor Company until such time the name of the Transferee Company has been taken on record.

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